



LUFWANYAMA TOWN COUNCIL

FINANCIAL STATEMENTS AS AT 31ST DECEMBER 2019

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UNQUALIFIED
OPINION 1

PAGE 7

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December, 2019 which disclose the sources, utilization and balances of cash for Lufwanyama Town Council during the period under review.

Background and Location of the Council

Lufwanyama District is on the Copperbelt Province of Zambia sharing borders with eight (8) other Districts namely, Kalulushi, Kitwe, Masaiti, Mpongwe, Luanshya, Kasempa, Chingola and Solwezi. The district provides a direct connection to towns in the North-Western Province including Kasempa, Kabompo, Zambezi and Chavuma through the Kalengwa-M18 Road. The major source of income of the local people is mainly from small scale farming, fishing and mining.

Lufwanyama is found in the western part of the Copperbelt Province. It lies between latitudes 13°44' and 12°20' south of the Equator. Longitudinally, it lies between 26°10' East.

The administrative centre lies in the Protected Forest Area of the Lamba Headwaters Block-A, along the Kalengwa-M18 Road, 580 Kilometres (Km) from Lusaka, the capital city of Zambia, 137 Kilometre (Km) from Ndola, the Provincial Headquarter, 65 Kilometres (Km) west of Kitwe, 55 Kilometre Km west of Kalulushi and 2 Kilometres (Km) east of the Lufwanyama River Bridge.

Lufwanyama is the largest Districts on the Copperbelt Province, covering an area of 7,880 square km of the provincial total area of 31,328 square km. It accounts for 31.4 percent of the provincial landmass.

The District has three (3) main rivers namely the Luswishi, Katembula and Lufwanyama Rivers, which are tributaries of the Kafue River, which forms the boundary between Lufwanyama and the Eastern and South-Eastern District in the province. These rivers receive water from the numerous perennial streams which form an extensive network of rich water resources the district is endowed with. These include the Kabundia, Sokontwe, Luela, Kansoka, Lumwana, Mubende, Mitwe, Chapula, Kasho, Kafubu and Funda.

The address of the registered office of Lufwanyama Town Council (LTC) is as follows:

The Civic Centre

Kalengwa Road

P.O Box 260500

Lufwanyama

Composition of the Council

Lufwanyama Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act, 1991 Cap 281 of the Laws of Zambia. As a Local Authority, the Town Council administers the Lufwanyama District.

The Council is composed of an elected Mayor, sixteen (16) elected Councillors from sixteen (16) Wards, and three (3) Chiefs as provided for under Article 153 (2)(c) of the Constitution of Zambia (Amendment) Act No.2 of 2016. The current Council was elected to office in 2016 to serve a five-year term up to 2021. The Deputy Chairperson was elected from among the Councillors in 2018 for the period of two and half years.

The Councillors who held office during the year were:

S/N	NAME	GENDER	POSITION	WARD
1	Moses c. Chiyeuka	Male	Council Chairperson	Not applicable
2	Zolile Zimba	Male	Vice Council Chairperson	Mibenge
3	Robert Katongo	Male	Councillor	Chantete
4	Rodgers Simweemba	Male	Councillor	Lufwanyama
5	Fredrick Mubanga	Male	Councillor	Luswishi
6	Malupenga Chiyan'a	Male	Councillor	Mukumbo
7	Kangwa E Mwila	Male	Councillor	Chibanga
8	Marvis Chisembele	Female	Councillor	Milopa
9	Claudias Dube	Male	Councillor	Kabundia
10	Annie Kapandula	Female	Councillor	Kansoka
11	Ignitius Musonda	Male	Councillor	Mushingashi
12	Lwipa Lubele	Male	Councillor	Kafubu
13	Benson Sondashi	Male	Councillor	Mwelushi
14	Davies Sumaili	Male	Councillor	Sokontwe
15	Phanuel Musumali	Male	Councillor	Kasanta
16	Diana Katupisha	Female	Councillor	Bulaya
17	Chola Kasanda	Male	Councillor	Mpindi
18	Chieftainess Shimukunani	Female	Member	Chiefdom
19	chief Funulwe	Male	Member	Chiefdom
20	Chief Lumpauma	Male	Member	Chiefdom

The District also has one (1) elected Member of Parliament for Lufwanyama constituency. The Members of Parliament that held office during the year were:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon. Leonard Fungulwe	Male	Lufwanyama

The affairs of Central Government in the District are coordinated by the District Commissioner. During the year under review Dr Miniver Mutesa was the District Commissioner for Lufwanyama District.

The Council Secretariat

The Secretariat of Lufwanyama Town Council is headed by The Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Council Secretary is assisted by four (4) Chief officer, responsible for Finance, Planning, Works, Administration and two (2) units namely Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) as listed in the annex part (c) of the Constitution of Zambia (Amendments) Act No.2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2019	2018
	Kwacha	Kwacha
Cash Receipts	13,121,319	15,318,904
Payments	16,038,836	13,303,441
Increase/(decrease) in Cash and Cash Equivalents	<u>-2,917,517</u>	<u>2,015,463</u>

Key Policies Adopted During the Year

- I. Internal Audit Charter.
- II. Lufwanyama Town Council Strategic Plan 2018 – 2022.
- III. Lufwanyama Town Council Land Application Policy.

Related Party Transactions

There were no related party transactions during the financial year.

Property, Plant and Equipment

The Council invested in Property, Plant and Equipment amounting to **K 2,852,440**

No property, plant and equipment were disposed of during the year.

Intangible Assets

There were no purchases of intangible assets during the year.

Employees

The average number of employees during the year was **89**. The total amount spent on employees' remuneration and welfare during the year was **K5,755,568**

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Corporate Social Responsibility

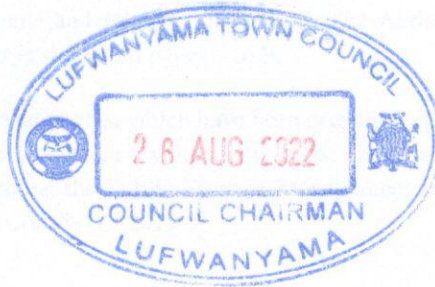
The Council made no donations during the year amounting to towards the support of various socially responsible causes.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council.

Signature: A. Kapandula
Name: ANNIE KAPANDULA
Position: Council Chairperson
Date: 26/08/2022



STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Lufwanyama Town Council is responsible for preparing the financial statements for the year ended 31st December, 2019 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019, and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor General has audited the financial statements and his report is shown on pages 7 to 9.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of Cap 281 of the Laws of Zambia, the Public Finance Management Act No.1 of 2019 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- For designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Lufwanyama Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Town Council for the financial year ended 31st December, 2019.

Signed on behalf of the Council on by

Name: ANNIE K. KAPANDUKA

Name: REBECCA C. BANDA

Signature: A. Kapanduka

Signature: Banda

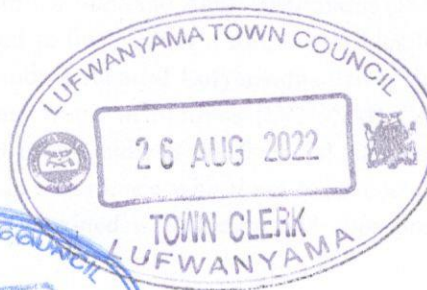
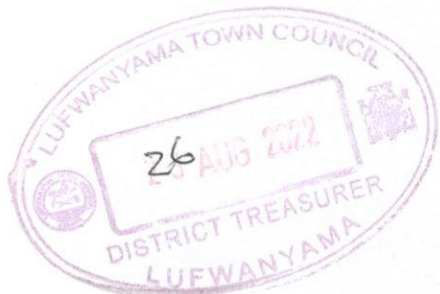
Position: Council Chairperson

Position: Council Secretary

Name: FRANK MUSHABA

Signature: [Signature]

Position: Council Treasurer





REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL

INDEPENDENT AUDITOR'S REPORT

STAND No. 7951
HAILE SELASSIE AVENUE
LONGACRES
P.O BOX 50071
LUSAKA, ZAMBIA

E-mail: auditorg@ago.gov.zm
Website: www.ago.gov.zm
Telephone: +260252611/252771

To: The Minister – Ministry of Local Government and Rural Development

Report on the Audit of the Financial Statements of Lufwanyama Town Council

Opinion

I have audited the financial statements of the Lufwanyama Town Council for the financial year ended 31st December, 2019 which comprise the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF) and a summary of significant accounting policies and other explanatory information on pages 10 to 32

In my opinion, the accompanying financial statements of Lufwanyama Town Council present fairly, in all material respects, its cash receipts and payments and balances for the year ended 31st December, 2019 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the Local Authorities Accounting Policies (LAAPs).

Basis for Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of Lufwanyama Town Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL
INDEPENDENT AUDITOR'S REPORT**

Emphasis of Matter

I draw attention to part 1.1 to the financial statements which describe the roadmap of the Council to adoption of Accrual Basis Financial Reporting Framework as result of which the Council has not produced Accrual Basis type of financial statements required by the Local Government Act No. 2 of 2019.

My opinion is not modified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019, and for such internal controls as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Council or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Council's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material



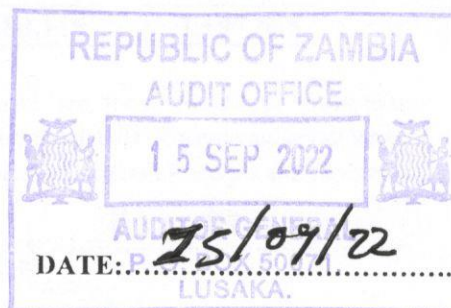
**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL
INDEPENDENT AUDITOR'S REPORT**

misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.

- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Council's internal controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Council's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Council to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.


Dr. Dick Chellah Sichembe
AUDITOR GENERAL
OFFICE OF THE AUDITOR GENERAL



**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED
31ST DECEMBER 2019:**

RECEIPTS

Local taxes	2	2,244,004	1,296,146
Fees and Charges	3	1,928,787	3,696,908
Licences	4	109,499	305,242
Levies	5	643,516	295,217
Permits	6	83,760	-
Local Government			
Equalisation Fund	7	7,317,047	7,794,823
Lufwanyama CDF	8	-	1,600,000
Other Grants	9	710,000	308,752
Borrowings	10	-	-
Commercial Venture	11	-	-
Other Receipts	12	84,706	21,816
TOTAL RECEIPTS		13,121,320	15,318,904

PAYMENTS

Personnel Emoluments	13	5,755,568	5,695,428
Use of goods and services	14	6,838,491	5,752,395
Financial Charges	15	-	-
Social benefits	16	-	-
Non-financial assets			
acquisition	17	2,852,440	1,580,122
Financial Assets	18	-	-
Loan Repayments	19	-	-
Other payments	20	592,338	275,496
TOTAL PAYMENTS		16,038,836	13,303,441
Increase/(decrease) in Cash		(2,917,516)	2,015,463
Foreign Exchange Losses	21	-	-
Cash at the beginning of the year	22	3,197,635	1,182,172
Cash at the end of the year	22	280,119	3,197,635

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Signature: *A. Kanyanda*

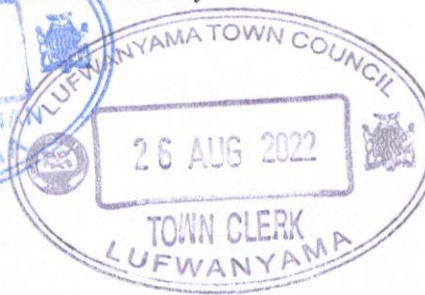
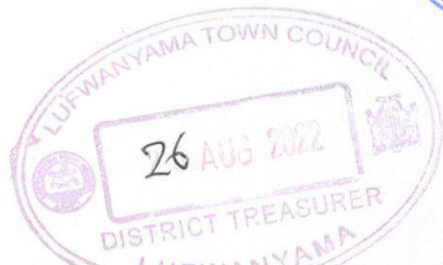
Signature: *Brada*

Position: Council Chairperson

Position: Council Secretary

Signature: *[Signature]*

Position: Council Treasurer



**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE
YEAR ENDED 31ST DECEMBER 2019**

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	1,256,008	-	1,256,008	2,244,004	179%	(987,996)	-79%
Fees and Charges	9,492,301	-	9,492,301	1,928,787	20%	7,563,514	80%
Licences	2,660	-	2,660	109,499	4117%	(106,839)	-4017%
Levies	363,972	-	363,972	643,516	177%	(279,544)	-77%
Permits	208,249	-	208,249	83,760	40%	124,489	60%
Local Government Equalisation Fund	9,186,272	-	9,186,272	7,317,047	80%	1,869,225	20%
Constituency Development Fund	1,600,000	-	1,600,000	-	0%	1,600,000	100%
Other Grants	-	-	-	710,000		(710,000)	
Borrowings	-	-	-	-		-	0%
Commercial Venture	-	-	-	-		-	0%
Other Receipts	-	-	-	84,706		(84,706)	0%
TOTAL RECEIPTS	22,109,462	-	22,109,462	13,121,320	59%	8,988,142	41%
PAYMENTS							
Personnel Emoluments	7,379,439	-	7,379,439	5,755,568	78%	1,623,871	22%
Use of goods and services	8,698,837	-	8,698,837	6,838,491	79%	1,860,346	21%
Financial Charges	-	-	-	-	0%	-	0%
Social benefits	-	-	-	-	0%	-	0%
Non-financial assets acquisition	4,819,185	-	4,819,185	2,852,439	59%	1,966,746	41%
Financial Assets	-	-	-	-	0%	-	0%
Loan Repayments	-	-	-	-	0%	-	0%
Other payments	1,212,000	-	1,212,000	592,338	49%	619,662	51%
TOTAL PAYMENTS	22,109,461	-	22,109,461	16,038,836	73%	6,070,625	27%
Increase/(Decrease in Cash	1	-	1	(2,917,516)		2,917,517	

The composition of budget adjustments and explanations of major variances are provided in note 23.

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT
EQUALISATION FUND (LGEF) FOR THE YEAR ENDED 31ST DECEMBER 2019**

		2019	2018
		Kwacha	Kwacha
RECEIPTS	Note		
Funding	7(a) (i)	7,317,047	7,794,823
TOTAL RECEIPTS		7,317,047	7,794,823
PAYMENTS			
Operational Expenditure Payments:			
Salaries and Wages	7(b) (i)	5,594,513	5,522,597
Terminal Benefits		0	0
Utility bills		0	0
Service Provision		43,747	0
Goods and Services	7 (b) (iii)	215,378	638,695
Administrative Costs		0	0
Other Costs			211,367
Sub-Total		5,853,638	6,372,659
Capital Expenditure Payments:			
Infrastructre Development	7 (c)(i)	1,257,623	1,152,297
Rehabilitation Works	7 (c)(ii)	182,818	85,877
Asset Acquisition	7 (c)(iii)		53,800
Other Costs	7 (c)(iv)	311,150	0
Sub-Total		1,751,590	1,291,974
TOTAL PAYMENTS		7,605,228	7,664,633
Increase/(decrease) in cash		-288,181	130,190
Cash at the beginning of the year	22	283,894	153,704
Cash at the end of the year	22	<u>-4,287</u>	<u>283,894</u>

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST DECEMBER, 2019**

RECEIPTS		2019 Kwacha	2018 Kwacha
Funding	8(a)	0	1,600,000
Other sources	8(b)	<u>0</u>	<u>0</u>
TOTAL RECEIPTS		<u>0</u>	<u>1,600,000</u>
PAYMENTS			
Infrastructure Development	8(c)	1,332,268	608,973
Rehabilitation Works	8(d)	0	0
Asset Acquisition	8(e)	0	0
Administrative Costs	8(f)	<u>166,027</u>	<u>51,064</u>
TOTAL PAYMENTS		<u>1,498,295</u>	<u>660,037</u>
Increase/(decrease) in Cash		-1,498,295	939,963
Cash at beginning of the year	22 (a & b)	<u>1,673,610</u>	<u>733,647</u>
Cash at the end of the year	22 (a & b)	<u>175,315</u>	<u>1,673,610</u>

Note 8 explains the composition and other details relating to the various elements included in this Statement.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

I. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Lufwanyama Town Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

- (a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.
This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.
- (b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).
This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act, 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31st December, 2022. The Council is preparing to adopt Accrual Basis IPSASs on 1st January, 2022
- (c) Treasury and Financial Management Circular No.10 of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:
 - i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31st December 2019 up to 2021.
- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January, 2022 by following the guidelines provided in IPSAS 33 -- "First Time Adoption of Accrual Basis IPSASs".
- iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January, 2022 and should end on 31st December, 2024. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Lufwanyama Town Council (LTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

1.3 Authorisation Date

The financial statements were authorized for issue on by the ordinary/special Council

1.4 Revenue

Revenue is recognised when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act, 2016 authorizes Lufwanyama Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act, 1991 Cap 281 section 69 (1) prescribes a system of local taxes by empowering Local Authorities to make by-laws imposing all or any of the following levies:

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- a levy on leviable persons owning or occupying property or premises situated within the area of the council.
- A levy on leviable persons carrying on a business, trade or occupation within the area of the council.
- A levy on the purchase or sale of a commodity within the area of the District. This includes levies on sale of livestock, grain and poles.

b. Fees or Charges

Section 70 (1) of the Local Government Act, 1991 as amended by Act 19 of 1992 empowers Local Authorities to impose fees or charges payable to the Council:

- For any licence or permit issued under any by-law or regulation made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits.
- For any service or facility provided or goods or documents supplied by the Council in pursuance of or in connection with the discharge of any function of the Council. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

1.7 Cash at the Beginning and End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities.

Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is guided by Guidelines on the Management and Utilisation of Constituency Development Fund of 2016. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions. The Council did not borrow during the period under review.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

(i) Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable bases are as follows:

- | | |
|-----------------------|----------------------|
| • Land | Current Value |
| • Buildings | Cost or Market Value |
| • Plant and Equipment | Cost |

(ii) Investments in Other Entities

The Council disclosed the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

(iii) Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and may of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

(iv) Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council.
- (b) Association being entities over which the Council has significant influence.
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close member of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such person is able to exercise significant influence.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The key management personnel of the Council are;

- (a) The Council Chairperson/Chairperson, elected Councilors, Co-opted members of the Audit and Procurement Committees, Chiefs who are part of the Council representing other Chiefs in the District, and
- (b) The Principal Officers and Chief Officers.
- (c) Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority.

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

(v) **External Assistance**

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purpose for which assistance will be utilized. Lufwanyama Town Council disclose total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the Council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

(vi) **Payments to Third Parties**

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Lufwanyama Town Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

Local Tax Type	2019	2018
	Kwacha	Kwacha
Residential	187	3,883
Industrial/Commercial	9,548	16,996
Mining/Plant	2,196,515	1,222,085
Personal levy	37,755	53,182
TOTAL	<u>2,244,004</u>	<u>1,296,146</u>

The Council relied on the Valuation Roll updated for the period 2016 – 2021 to determine the property rates receivable.

3. Fees and Charges

The local authority generated cash receipts in form of fees and charges arising from offering various services as follows.

	2019	2018
	Kwacha	Kwacha
Fees and Charges	1,125,689	1,115,047
Land Development Charges	803,098	2,581,861
Total	<u>1,928,787</u>	<u>3,696,908</u>

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2019	2018
	Kwacha	Kwacha
Consent fees	-	-
Survey fees	-	-
Building inspection-fees	-	-
Plan scrutiny fee	-	-
Change of premise use	-	-
Container/Ntemba fees	-	-
Rentals/lease of Council's properties	-	22,950
Application forms fees	-	229,800
Rentals from houses	102,315	76,000
Sketch plan	-	-
Search fees	-	-
Hire of halls	-	-
Hire of grounds/stadia	-	-
Hoarding fees (Barricading)	-	-
Refuse	-	1,470
Notice of marriage fees	-	-
Abattoir/meat inspection	-	-
Registration of clubs and societies	-	-
Vendor levies	-	-
Farm produce levy	492,150	420,025
Flower vendor levy	-	-
Car dealer levy	-	-
Communication mast levy	101,200	90,000
Illegal Parking of vehicles	-	-
Billboards and banners	9,000	-
Lease of council transport	-	-
Illegal vending fees	-	-
Penalties	-	-
Other fees and charges	421,024	274,803
	<u>1,125,689</u>	<u>1,115,048</u>

b. Land Development Charges

The Council collected the following land development related charges

Charges Type	2019	2018
	Kwacha	Kwacha
Premium Plot- Residential	243,693	712,080
Premium Plot – Commercial	33,000	95,000
Other charges	526,405	1,774,781
TOTAL	<u>803,098</u>	<u>2,581,861</u>

NOTES TO THE FINANCIAL STATEMENTS

4. Licences

A total of K109,499 cash receipts was raised from issuance of various licences.

Licence Type	2019 Kwacha	2018 Kwacha
Manufacturers Licence	-	-
Retail Licence	-	-
Wholesale licence	-	-
Ocupancy licence	-	-
Commercial travellers licence	-	-
Hawkers licence	-	-
Peddlers licence	-	-
Stall licence	-	-
Liquor licence	-	2,542
Firearm and ammunition licence	-	-
Petroleum licence	109,499	-
Restaurant licence	-	-
Dog licence	-	302,700
Other Licences	-	-
TOTAL	109,499	305,242

5. Levies

The Council generated cash receipts by charging levies as follows:

Type of Levy	2019 Kwacha	2018 Kwacha
Livestock levy	29,959	21,035
Birds levy	-	3,525
Fish levy	3,213	14,247
Pole levy	-	-
Charcoal levy	240,033	153,210
Sand levy	-	572
Grave reservation levy	-	-
Timber Levy	289,800	96,440
Other levies	80,511	6,188
TOTAL	643,516	295,217

NOTES TO THE FINANCIAL STATEMENTS

6. Permits

The Council generated cash receipts from issuing various permits as follows:

Type of Permit	2019	2018
	Kwacha	Kwacha
Health permits	12,930	-
Permit for Opaque beer	-	-
Fire certificate	64,000	-
Business permits	3,830	-
Public permits (social gatherings, etc.)	-	-
Other permits	3,000	-
TOTAL	83,760	-

7. Local Government Equalisation Fund

a (i) Funding

Source Cash Book	2019	2018
	Kwacha	Kwacha
1st Funding	704,852	707,233
2nd Funding	744,852	705,481
3rd Funding	705,457	705,457
4th Funding	763,142	705,481
5th Funding	704,852	-
6th Funding	704,852	707,233
7th Funding	704,852	735,481
8th Funding	765,523	707,233
9th Funding	765,523	707,233
10th Funding	753,142	704,663
	-	704,663
	-	704,663
TOTAL	7,317,047	7,794,823

NOTES TO THE FINANCIAL STATEMENTS

b Operational Expenditure

The Council applied amounts totaling K5,853,638 of LGEF receipts towards meeting operational expenses on Salaries and Wages and goods and services representing 80% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

b.(i) Salaries and wages

Grade	2019	2018
	Kwacha	Kwacha
	-	107,091
Salaries Div. I	1,842,877	1,492,944
Salaries Div II	1,297,430	1,223,198
Salaries Div III	1,042,998	1,017,840
Wages - Division IV	1,411,207	1,681,524
TOTAL	5,594,513	5,522,597

(b)(ii) Service Provision

Code	Description	2019	2018
		Amount	Amount
		K	K
225049	Boreholes,Pumps & Reticulation	8,000	0
226054	Land demarcation	35,747	0
		43,747	-

(b)(iii) Goods and services

Code	Description	2019	2018
		Kwacha	Kwacha
	Boards, Councils and Committees		
224060	expenses	-	634,800
226008	Advertisement and Publicity	-	2,475
221010	Office Materials	119,633	-
226008	Internet Charges	13,700	-
226015	Traditional Ceremonies	-	1,420
226015	Data Processing	28,245	-
223020	Servicing(Other Cosumables)	53,801	-
		215,378	638,695

NOTES TO THE FINANCIAL STATEMENTS

c. Capital Expenditure

The Council applied amounts totalling K1,751,590 of LGEF receipts towards meeting capital expenditure representing 20% of the total LGEF funding for the reporting period. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

(i) Infrastructure Development

	2019 Kwacha	2018 Kwacha
Boreholes, pumps and other Water Reticulation Material	-	99,952
Cycle maintenance-Regravelling ,Resealing and General Debit	136,608	65,000
Market Facilities	-	32,026
Bridges and Culverts	88,243	78,506
Schools	-	179,926
Buildings	1,032,772	677,497
Hospitals, Clinics and Health Centres	-	19,390
Total	<u>1,257,623</u>	<u>1,152,297</u>

(ii) Rehabilitation

	2019 Kwacha	2018 Kwacha
Building Maintenance (Maintenance, Consumables, Debit	182,818	85,877
Total Rehabilitation payments	<u>182,818</u>	<u>85,877</u>

(iii) Asset Acquisition

	2019 Kwacha	2018 Kwacha
Marine Equipment	-	53,800
Total Asset Acquisition Payments	<u>-</u>	<u>53,800</u>

NOTES TO THE FINANCIAL STATEMENTS

(iv) Other Costs

	2019 Kwacha	2018 Kwacha
Repairs	0	0
Office Material	39,914	0
Petrol, Oil and Lubricants	171,887	0
Hand Tools and Equipment	6,401	0
Land Demarcation and Survey	29,435	0
Bush Clearing	40,375	0
Other Costs	23,137	0
Total Othe Costs	311,150	0

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analysed as follows:

(a) CDF Funding

	2019 Kwacha	2018 Kwacha
Constituency		
Lufwanyama	-	1,600,000
	-	-
Total Funding	-	1,600,000

(c) CDF Infrastructure Development

	2019 Kwacha	2018 Kwacha
Cycle maintenance-Regravelling ,Resealing and General Debit	42,170	0
Schools	629,396	0
Buildings	4,044	608,973
Hospitals, Clinics and Health Centres	656,658	0
	1,332,268	608,973

Infrastructure development works included construction of Classroom blocks and other buildings at heath centres.

(d) Rehabilitation Works

Rehabilitation works were not carried out in the period under review.

(e) Asset Acquisition

There were no acquisitions assets in the period under value.

NOTES TO THE FINANCIAL STATEMENTS

(f) **Administrative Costs**

	2019 Kwacha	2018 Kwacha
Petrol, Oil and Lubricants	109,391	-
Other Costs	13,570	-
Meal Allowance	680	-
Other Costs	600	51,064
Bank Charges	3,166	-
Other Services	-	-
Allowances	38,620	-
Imprest	-	-
Total Administrative Costs	166,027	51,064

The administrative costs included project supervision costs,

9. Other grants

During the year, the Council received the following grants:

Revenue Source	2019 Kwacha	2018 Kwacha
Grants from other sources		108,752
Grant in lieu of rates	710,000	200,000
Other grants	-	-
TOTAL	710,000	308,752

10. Borrowings

During the year the Council did not contract any loan.

11. Council Commercial Venture

The Council had no commercial venture in the commercial venture.

12. Other Receipts (This is included for balancing the statements only. It is not mandatory)

The Council received amounts totaling K84,706 in its various bank accounts that could not be traced to the sources. Therefore, the amounts in question could not be recognized under any particular class of receipts in the financial statements except as 'other receipts'

	2019 Kwacha	2018 Kwacha
Interest on investments	83,901	6,816
Donations		15,000
Profit from council ventures	805	0
	84,706	21,816

NOTES TO THE FINANCIAL STATEMENTS

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Town Council. The Council had categories of staff that were paid as follows

Grade	2019	2018
	Kwacha	Kwacha
Management - Council Chairperson	-	107,091
Salaries Div. I	1,894,377	1,533,555
Salaries Div II	1,337,430	1,258,018
Salaries Div III	1,069,498	1,070,840
Wages - Division IV	1,433,927	1,725,924
Medical costs	20,335	-
TOTAL	5,755,568	5,695,428

14. Use of Goods and Services

General expenditure consists of expenditure incurred on administrative activities

Expenditure Type	2019	2018
	Kwacha	Kwacha
Office Running Costs	368,844	270,257
Building, Repair and Maintenance Costs	202,368	263,132
Plant, Machinery and Vehicle Running and Maintenance Cost	1,145,162	746,236
Other Administrative operating costs	1,735,169	970,650
Requisites	109,815	265,913
Services	2,305,705	2,648,710
Travel expenses	874,523	493,388
Training	96,905	69,238
Medical costs	-	24,871
Other costs	-	-
TOTAL	6,838,491	5,752,395

15. Financial Charges

The Council paid nothing in financial charges.

16. Social Benefits

Social benefits were not incurred during the year.

NOTES TO THE FINANCIAL STATEMENTS

17. Non-financial Asset Acquisition

Acquisition of assets involved the following payments:

	2019	2018
	Kwacha	Kwacha
Schools	659,373	179,926
Buildings	1,053,449	1,287,513
Hospitals, Clinics and Health Centres	656,658	19,390
Marine Equipment	-	53,800
Computers, Peripherals, Equipment	16,020	36,193
Motor Vehicles <= 3500kg	466,939	-
Other Office Equipment	-	3,300
TOTAL	2,852,440	1,580,122

18. Financial Asset

In the period under review the Council had no financial assets.

19. Loan Repayments

There were no loan repayments because Council had no loan obligation

20. Other Payments

These relate to sundry items such as Staff creditors and Trade Creditors.

	2019	2018
Details	Kwacha	Kwacha
ZULAWU	0	0
ZCTU	0	0
Others	0	0
Suppliers of goods and services	130,441	0
Zambia Revenue Authority	0	0
National Pension Scheme Authority	0	0
Local Authorities Superannuation Fund	0	211,367
ZULUWU	0	0
Terminal Benefits	404,271	60,280
Long Service Bonus	17,476	0
Leave Travel Benefits	40,150	3,849
	592,338	275,496

21. Foreign Exchange Losses

These arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances

NOTES TO THE FINANCIAL STATEMENTS

22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2019	2018
	Kwacha	Kwacha
Cash on hand	5,122	3,370
Demand Deposits	274,997	3,194,265
Cash equivalents	-	-
TOTAL	<u>280,119</u>	<u>3,197,635</u>

a. Cash on hand

The Council's cash on hand was made of cash collections and petty cash:

	2019	2018
	Kwacha	Kwacha
Cash collections undeposited	5,122	3,370
Petty Cash	-	-
TOTAL	<u>5,122</u>	<u>3,370</u>

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2019:

Account	Bank	2019	2018
		Kwacha	Kwacha
District Fund Account	Zanaco -011093200158	59,225	458,353
Capital Account	Invetrustr-0110288211010	-4,287	283,894
Rural Water Account	Zanaco-1548892300155	2,515	4,729
Project Account	Zanaco-1325062300181	12,231	123,454
Service Charge Account	Natsave-3170124339501	8,028	7,078
Fire Services Account	Natsave -3171742525402	14,003	616,386
Loan Revolving Fund Acco	Natsave -3171744225401	6,691	15,722
Community Contribution A	Natsave - 3170124076101	183	1,528
SOMAP Shop Account	Natsave - 3170124076001	1,093	9,511
Ward Development Fund A	Natsave - 3171257386901	0	0
CDF Account	Zanaco-0265728300111	<u>175,315</u>	<u>1,673,610</u>
		<u>274,997</u>	<u>3,194,265</u>

c. Cash Equivalents

The Council did not hold treasury bills at the end of the year.

NOTES TO THE FINANCIAL STATEMENTS

23. Budget Adjustments and Variances

The Council did not apply for adjustment of the budget during the year.

a. Budget Adjustments

There were no budget variations in the period under review.

b. Budget Variances

• Own Source Revenues

The Council planned to generate K11,323,190 from Own Source Revenue but collected **K5,094,272** resulting in a variance of 45%. The less collection efficiency was attributed to non-payments of conveyance fees and other land related charges.

• Local Taxes

The Council planned to generate K1,256,008 from Local Taxes Revenue but collected **K2,244,004** resulting in a variance of (79%). The over collection efficiency was attributed to payments of Rates by Mining Companies.

• Fees and Charges

The Council planned to generate K9,492,301 from Fees and Charges but collected **K1,928,787** resulting in a variance of (80%). The under collection efficiency was attributed to non-payments of Conveyance fees and other Charges.

• Licenses

The Council planned to generate K2,660 from Licenses but collected **K109,499** resulting in a variance of (4017%). The over collection efficiency was attributed to the collection of licenses from the timber operators

• Levies

The Council planned to generate K363,972 from Levies but collected **K643,516** resulting in a variance of (77%). The over collection efficiency was attributed to collection of timber levy using ZAFFICO offices.

• Permits

The Council planned to generate K208,249 from Levies but collected **K83,760** resulting in a variance of (60%). The Under collection efficiency was attributed to effects of COVID 19.

• Other Grants

The Council Received K710,000 in Grant in lieu of Rates from the Ministry during the year under review.

• Constituency Development Funds

The Council did not receive K1,600,000 Constituency Development Funds from the Ministry during the year under review it had budgeted to receive during the period under review.

• Personnel Emoluments

NOTES TO THE FINANCIAL STATEMENTS

The Council planned to spend K7,379,439 on personal emoluments but the council spent K5,755,568, resulting in a variance of 22%. This was as a result of some positions not being filled and also failure to meet pay as you earn.

- **Use of Goods and services**

The Council planned to spend K8,698,837 on procurement of goods and services but spent K6,838,491 resulting in a variance of 21%. This was as a result of under collection of Revenue.

- **Non-Financial Assets**

The Council planned to spend K4,819,185 on Non-Financial Assets but spent K2,852,439 resulting in a variance of 41%. This was as a result of under collection of revenue

- **Other Payments**

The Council planned to spend K1,212,000 on other payments but spent K592,338 resulting in a variance of 51%. This was as a result of under collection of revenue

24. Provision of Services

The Town Council incurs expenditure to offering services it is mandated to provide to the residents of the District.

	2019 Kwacha
Valuation of Properties	232,459
Fire Prevention	28,780
Grading of Feeder Roads	884,184
Refuse Collection	21,730
Rehabilitation of Boreholes	7,500
Market Facilities	24,672
Construction of Bridges and Culverts	148,360
Land demarcation and survey	91,865
Bush Clearing	40,375
Maintenance of council Buildings	202,369
Pool Transport	1,145,162
Sub totals	2,827,456

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

25 Property, Plant and Equipment

The Council had property, plant and Equipment valued at K12,486,771

	Land and Buildings K	Motor vehicles K	Plant & Machinery K	Plant & &Furnitur K	TOTAL K
Opening balance	4,331,000	2,043,685	217,900	68,280	6,660,865
Additions	2,369,481	466,939	-	16,020	2,852,440
Revaluation	-	-	-	-	-
Re-classification	-	-	-	-	-
Disposal	-	-	-	-	-
Closing balance	6,700,481	2,510,624	217,900	84,300	9,513,305

APPENDICES

This section is optional but encouraged to be done in order to track the changes.

The following supplementary information does not form part of the Annual Financial Statements and is unaudited:

APPENDIX A – List of Payables

APPENDIX B – List of Receivables

APPENDIX C – List of Assets Acquired in the Year